

Statutory Compliance Framework for Indian RWAs

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User prompt: Tabularise the statutory requirements for a registered RWA (Resident Welfare Association) in India, regarding All Acts, Rules, Bye-laws governing RWAs, with their sections (to include not exhaustively viz IT Act, TDS, GST, 'Reserve Fund', 'Sinking Fund', 'Repair & Maintenance Fund', 'Corpus Fund' and 'Form N' representation)

Response: In India, Resident Welfare Associations (RWAs) and Cooperative Housing Societies (CHS) / Apartment Owners Associations (AOAs) operate under a combination of Central taxation statutes, State-specific registration/ownership acts, and Model Bye-laws.

Statutory Requirements & Compliance Framework

Regulatory Area / Statute	Governing Sections / Rules	Statutory Requirement & Scope	Treatment / Rate / Deadline
Income Tax Act, 1961 (Taxability & Mutuality)	Sec. 2(31), Sec. 4, & Doctrine of Mutuality	An RWA is assessed as an Association of Persons (AOP) . Contributions from members for common services are exempt under the <i>Principle of Mutuality</i> (no one can trade with themselves). Non-mutual income is fully taxable.	• Member maintenance: Tax-free • Bank interest, rental of common spaces, cell tower leases: Taxable at applicable AOP rates.
Income Tax Act, 1961 (Deductions)	Sec. 80P(2)(c) / 80P(2)(d)	Applicable primarily to registered Cooperative Societies ; deduction available on interest earned from cooperative banks and certain threshold deductions for other incomes.	Must claim via regular annual return filing on or before statutory deadlines.
Income Tax Act, 1961 (Return of Income)	Sec. 139(1), Sec. 44AB	Mandatory filing of ITR-5 annually. Tax audit under Sec. 44AB applies if commercial receipts/turnover exceed statutory thresholds (e.g., cell towers, clubhouse rentals).	• ITR-5: 31st July (non-audit) or 31st October (audit cases).
Tax Deducted at Source (TDS) (Income Tax Act, 1961)	Sec. 194C, 194J, 194I, 194A	RWAs paying vendors must deduct TDS, obtain a TAN , and remit deductions to the Central Government.	• 194C (Contracts): 1% (indiv./HUF) or 2% (others) on payments exceeding ₹30k single / ₹1L aggregate (security, housekeeping, AMC) • 194J (Prof. Fees): 2% / 10% (legal, audit fees > ₹30k) • 194I (Rent): 10% (> ₹2.4L/yr)

Regulatory Area / Statute	Governing Sections / Rules	Statutory Requirement & Scope	Treatment / Rate / Deadline
			Monthly deposit by 7th; Form 26Q quarterly.
Goods & Services Tax (GST) (<i>CGST Act, 2017</i>)	Sec. 22(1), Notification 12/2017-CT(R) (Entry 77)	Mandatory registration if aggregate annual turnover exceeds ₹20 Lakhs (₹10 Lakhs in Special Category states). Contributions up to ₹7,500/month/member are exempt.	- Maintenance ≤ ₹7,500: Exempt - Maintenance > ₹7,500: 18% GST on entire amount (if turnover > ₹20L) - Commercial rentals/events: 18% GST - Return: GSTR-1 & GSTR-3B monthly/quarterly.
Reserve Fund	<i>Societies Registration Act / State Cooperative Societies Acts (e.g., MCS Act Sec. 66 / 154B-17)</i> <i>Model Bye-laws</i>	Mandatory statutory reserve created out of net operating surpluses and entrance/transfer fees to ensure long-term solvency.	Typically requires transferring at least 25% of annual net profit/surplus to this fund before any dividend/disbursement.
Sinking Fund	<i>State Apartment Ownership Acts</i> <i>Model Bye-laws (e.g., Bye-law 13(c) & 14(c))</i>	Dedicated fund for periodic structural overhauls, heavy equipment replacements (lifts, transformers, DG sets), and major building renovations.	Calculated typically at 0.25% to 0.33% per annum of the construction cost of each flat/unit; requires General Body approval for withdrawal.
Repair & Maintenance Fund	<i>Model Bye-laws (e.g., Bye-law 13(a) & 14(b))</i>	Intended for routine, day-to-day upkeep of common amenities, plumbing, surface painting, common electricity, and pathway repairs.	Fixed by General Body resolution, commonly pegged at a minimum of 0.75% per annum of the construction cost of each flat.

Regulatory Area / Statute	Governing Sections / Rules	Statutory Requirement & Scope	Treatment / Rate / Deadline
Corpus Fund	• RERA Act, 2016 (Sec. 11(4)(g), Sec. 17) • <i>State Apartment Ownership Acts</i>	One-time lump sum collected by the promoter/builder from allottees at the time of handing over possession. Kept in a dedicated bank escrow account and handed over to the RWA/AOA.	Capital is treated as a non-refundable capital receipt (inviolable principal); only the interest yields are meant to be deployed for recurring deficits.
'Form N' Representation & Filing	• <i>State Co-operative Societies Rules</i> (e.g., Rule 62 / Form N under MCS Rules, 1961) • <i>State Societies Rules</i>	Prescribed statutory format for the Annual Statement of Accounts, Balance Sheet, and List of Committee Members . Under cooperative rules, Form N serves as the standardized balance sheet layout detailing reserve funds, liabilities, and fixed assets.	Must be prepared annually, audited by a certified statutory auditor, approved in the AGM, and filed with the Registrar / Dy. Registrar within the state-mandated window (typically 30–60 days post-AGM).
Statutory Governance & Filings	• <i>Societies Registration Act, 1860 (Sec. 4) / State Ownership Acts</i>	Mandatory annual compliances: holding the Annual General Meeting (AGM), electing the Governing Body / Management Committee, and submitting the list of office bearers.	File annually with the Registrar: list of Managing Committee members, audited balance sheet, and AGM minutes (typically within 14–30 days of the AGM).

Key Financial Handling Safeguards

- **Bank Account Separation:** Statutory funds (Sinking Fund, Reserve Fund, Corpus Fund) must be held in designated fixed deposits or investments in authorized banks (e.g., Scheduled/Cooperative Banks specified under the relevant State Cooperative or Societies Act), separate from operational current accounts.
- **Capital Receipt Treatment:** Sinking and Corpus funds must be categorized on the balance sheet under "Capital Reserves / Funds" and not booked as operational revenue in the Income & Expenditure statement.

User prompt: Create a comprehensive internal audit checklist covering financial, statutory, and operational compliance for an Indian RWA.

Response: Here is a comprehensive internal audit checklist structured for an Indian Resident Welfare Association (RWA) / Apartment Owners Association (AOA). It covers financial, statutory, operational, and asset/vendor governance.

1. Statutory & Regulatory Compliance Checklist

Checkpoint	Audit Verification & Test of Controls	Frequency / Timelines	Primary Reference / Law	Status / Remarks
Annual General Meeting (AGM)	• Verify notice issued with statutory minimum notice period (usually 14 to 21 days). • Verify quorum as per registered Bye-laws. • Confirm circulation and formal approval of audited accounts and budget.	Annual (Within 6 months of FY end)	State Societies Registration / Co-op Societies Act	[] Compliant [] Deficiency
Registrar Filings (Form N / Returns)	• Verify filing of audited Financial Statements (Balance Sheet, Income & Expenditure). • Verify submission of the updated List of Management Committee (MC) / Governing Body members. • Check acknowledgment receipts from the Registrar of Societies.	Post-AGM (Within 30–60 days)	Societies Reg. Act / State Rules (e.g., MCS Form N)	[] Compliant [] Deficiency
Income Tax Filing (ITR-5)	• Confirm timely filing of Form ITR-5. • Verify application of Principle of Mutuality (member contributions segregated from taxable non-mutual receipts). • Check for Section 44AB tax audit requirement if commercial turnover thresholds are breached.	Annual (By July 31 / Oct 31 if audit applies)	Income Tax Act, 1961 (Sec. 139(1), Sec. 44AB)	[] Compliant [] Deficiency
TDS Deduction & Deposit	• Check deduction on vendor payouts: Sec. 194C (Contracts/Security/Housekeeping), Sec. 194J (Professional fees), Sec. 194I (Rent). • Verify monthly deposits by the 7th of the following month.	Monthly / Quarterly (26Q)	Income Tax Act, 1961	[] Compliant [] Deficiency

Checkpoint	Audit Verification & Test of Controls	Frequency / Timelines	Primary Reference / Law	Status / Remarks
	Verify quarterly filing of Form 26Q and issuance of Form 16A to vendors.			
GST Compliance	- Verify aggregate threshold (> ₹20 Lakhs). - Verify billing logic: Check if contributions > ₹7,500/month/member are taxed at 18% on the entire amount. - Review Input Tax Credit (ITC) reconciliation with GSTR-2B. - Verify timely filing of GSTR-1 and GSTR-3B.	Monthly / Quarterly	CGST Act, 2017 & Notif. 12/2017-CT(R)	☐ Compliant ☐ Deficiency
Labor & Safety Compliances	- Verify minimum wage compliance and EPF/ESIC remittance for direct employees. - Ensure third-party agencies (Security, Housekeeping) furnish monthly PF/ESIC ECR challans before releasing monthly invoices.	Monthly	EPF & MP Act, ESI Act, Contract Labour Act	☐ Compliant ☐ Deficiency

2. Financial Management & Earmarked Funds Checklist

Checkpoint	Audit Verification & Test of Controls	Verification Mechanism	Status / Remarks
Bank Account Separation	- Operational funds (Current Account) are separated from statutory capital funds. - Dual/authorized signatory rules enforced (e.g., President/Secretary + Treasurer).	Bank statement & mandate verification	☐ Compliant ☐ Deficiency
Corpus Fund Preservation	Confirm builder-transferred Corpus Fund is intact as an inviolable capital receipt.	Fixed Deposit Certificates & Ledger	☐ Compliant

Checkpoint	Audit Verification & Test of Controls	Verification Mechanism	Status / Remarks
	- Ensure principal amount is never utilized for day-to-day operational deficits without explicit General Body special resolution. - Confirm interest treatment (credited to reserve or income as per bye-laws).		☐ ☐ Deficiency
Sinking Fund Accrual & Investment	- Check billing of Sinking Fund (typically 0.25%–0.33% of construction cost per annum). - Verify that collected funds are parked in dedicated FDs/Government-approved securities within the statutory period. - Ensure zero withdrawals took place without General Body approval.	General Ledger, Bank FDs, AGM Minutes	☐ ☐ Compliant ☐ ☐ Deficiency
Reserve & Maintenance Funds	- Check mandatory transfer of at least 25% of annual net operating surplus to the Statutory Reserve Fund. - Verify Repair & Maintenance billing against actual routine maintenance expenditure.	Income Statement & Balance Sheet allocations	☐ ☐ Compliant ☐ ☐ Deficiency
Bank Reconciliation Statement (BRS)	- Ensure monthly BRS is prepared for every active bank account. - Check for stale unpresented cheques (> 3 months) and unexplained debit/credit entries.	Monthly BRS records	☐ ☐ Compliant ☐ ☐ Deficiency
Petty Cash Controls	- Verify adherence to petty cash imprest ceiling (e.g., max ₹10,000–₹25,000). - Ensure physical cash count matches cash book. - Verify supporting vouchers with approvals for all cash disbursements.	Physical cash verification & Vouchers	☐ ☐ Compliant ☐ ☐ Deficiency

3. Revenue, Billing, & Collections Checklist

Checkpoint	Audit Verification & Test of Controls	Verification Mechanism	Status / Remarks
Member Dues & Invoicing	• Verify maintenance billing rates against General Body approved tariff. • Audit calculation of late payment surcharges / interest on overdue payments. • Match billed units against master society flat/plot register (ensure no unbilled vacant units).	Billing register vs. Master Flat List	☐ Compliant ☐ Deficiency
Debtors Aging & Defaulter Follow-up	• Review aging schedule (30 / 60 / 90+ days). • Verify if demand/reminder notices have been issued to persistent defaulters. • Check compliance with bye-law recovery mechanisms (e.g., NOC withholding, Registrar recovery certificates).	Accounts Receivable Aging Report	☐ Compliant ☐ Deficiency
Ancillary & Commercial Revenue	• Check revenue recognition for clubhouse rentals, party hall bookings, hoarding/kiosk displays, and mobile tower leases. • Verify that commercial transactions include 18% GST where applicable. • Ensure move-in/move-out charges and transfer fees comply with statutory ceilings (e.g., MCS Act caps transfer premium).	Lease Agreements & Booking Registers	☐ Compliant ☐ Deficiency

4. Procurement, Vendor Management, & Expenditure Checklist

Checkpoint	Audit Verification & Test of Controls	Verification Mechanism	Status / Remarks
Procurement & Tendering Rules	• Check for a 3-quotation comparative matrix for capital/major purchases exceeding threshold (e.g., > ₹25,000 / ₹50,000).	PO/WO files, Quotation evaluation sheets	☐ Compliant ☐ Deficiency

Checkpoint	Audit Verification & Test of Controls	Verification Mechanism	Status / Remarks
	Confirm managing committee minute approvals before issuing Purchase Orders (POs) or Work Orders (WOs).		
3-Way Matching of Invoices	- Verify PO/WO matches Goods Receipt Note / Work Completion Certificate and Vendor Invoice before payment release. - Ensure payment approvals match delegated financial powers (Treasurer, Secretary, President limits).	Payment vouchers with attached inspection reports	☐ Compliant ☐ Deficiency
Annual Maintenance Contracts (AMCs)	- Audit active AMCs for critical infrastructure: Lifts, Diesel Generator (DG) sets, Water Treatment Plant (WTP), Sewage Treatment Plant (STP), Fire Hydrants, CCTV, and Boom Barriers. - Confirm scheduled preventive maintenance logs are verified by the Estate Manager before approving quarterly AMC payments.	AMC contracts, Service logs, Invoices	☐ Compliant ☐ Deficiency

5. Operational, Environmental, & Safety Compliance

Checkpoint	Audit Verification & Test of Controls	Frequency	Authority / Reference	Status / Remarks
Fire Safety NOC & Drills	- Verify validity of Fire Safety NOC / Fire Certificate. - Check servicing of fire extinguishers and hydrants. - Verify conduct of periodic mock evacuation drills.	Annual / Bi-annual	State Fire Service Department	☐ Compliant ☐ Deficiency
Lift Licenses & Third-Party Inspection	- Ensure current lift operating licenses for all passenger and service lifts. - Verify annual mandatory inspection certificates by the Electrical/Lift Inspector.	Annual	State Lift Authority / Electrical Inspectorate	☐ Compliant ☐ Deficiency

Checkpoint	Audit Verification & Test of Controls	Frequency	Authority / Reference	Status / Remarks
STP & Environmental Norms	• Check Consent to Operate (CTO) from State Pollution Control Board (SPCB). • Verify regular lab test reports of treated water quality (BOD, COD, pH, TSS) for reuse in flushing and gardening.	Monthly / Annual renewal	State Pollution Control Board	☐ Compliant ☐ Deficiency
DG Set & Fuel Accounting	• Log book audit: Run hours vs. diesel consumption ratio. • Reconciliation of diesel purchases against physical storage tank levels. • Ensure compliance with acoustic enclosure and chimney height emission guidelines.	Continuous / Monthly audit	State Pollution Control Board / Petroleum Rules	☐ Compliant ☐ Deficiency
Comprehensive Asset Insurance	• Ensure active insurance coverage for Common Property & Assets (Earthquake, Fire, Cyclone, Machinery Breakdown). • Review Public Liability Insurance and Director & Officer (D&O) liability for MC members.	Annual renewal	General Insurance Corporation guidelines	☐ Compliant ☐ Deficiency

Internal Audit Action Plan & Documentation Template

For every deficiency flagged during the audit, document:

- Finding / Discrepancy:** Detail the exact variance (e.g., ₹1.2 Lakh uninvested Sinking Fund sitting in Current Account for >90 days).
- Financial / Legal Exposure:** (e.g., Violation of Bye-law 14(c), loss of potential FD yield, potential registrar inquiry).
- Internal Auditor Recommendation:** Immediate corrective action required.
- Management Committee Response & Target Resolution Date:** Assigned owner and timeline for remediation.

User prompt: Create a professional internal audit report template for an RWA with executive summary, risk ratings, and sample audit findings.

Response: Internal Audit Report

Entity: Palm Grove Heights Resident Welfare Association (Reg. No. ROS/ACT/2018/4512)

Period Under Review: 1st April 2025 to 31st March 2026 (FY 2025–26)

Auditor: M/s Verma & Associates, Chartered Accountants

Date of Issue: 22nd September 2026

Circulation: Management Committee & General Body

1. Executive Summary

We have conducted an internal audit of the books of accounts, statutory records, procurement processes, and operational controls of **Palm Grove Heights Resident Welfare Association** for the Financial Year ended 31st March 2026.

Our audit evaluated internal financial controls, compliance with registered Bye-laws, the State Apartment Ownership Act, the Income Tax Act (1961), and the Central Goods & Services Tax (CGST) Act (2017).

Overall Assessment

The Association maintains orderly day-to-day accounting records using specialized society management software. However, we identified material non-compliances concerning **statutory fund segregation, TDS deduction on high-value contracts, and vendor compliance verification (PF/ESIC)** that expose the Association to avoidable financial interest, penalty assessments, and legal exposure.

Operational controls over fuel inventory (Diesel Generator sets) require immediate formalization.

Summary of Audit Observations

Risk Severity	Open Findings	Direct Financial Implication Identified
High	2	₹4,82,000 (Tax liability & interest exposure)
Medium	2	₹38,400 (Opportunity loss / non-compliance exposure)
Low	1	Process inefficiency
Total Findings	5	₹5,20,400

2. Risk Rating Matrix

Our findings are categorized using the following severity framework:

- **High Risk:** Non-compliance with statutory/tax laws, risk of regulatory fines or prosecution, potential or actual fraud, or unauthorized diversion of capital/statutory reserves. Requires remediation within **15–30 days**.

- **Medium Risk:** Significant internal control gaps, bypass of quotation/procurement limits, loss of interest/yield on funds, or missing preventive maintenance logs. Requires remediation within **45–60 days**.
- **Low Risk:** Minor procedural oversights, minor documentation lapses, or administrative inefficiencies with low immediate financial exposure. Requires remediation within **90 days**.

3. Detailed Audit Findings & Action Plan

Observation 1: Non-Deduction of TDS on Security & Facility Management Contracts

- **Risk Rating:** High
- **Area:** Direct Taxation / Statutory Compliance
- **Governing Section:** Section 194C, Income Tax Act, 1961

Condition Found

During the audit of vendor payments, it was noted that monthly service disbursements to M/s Apex Facility Services Pvt. Ltd. totaling ₹28,40,000 (FY 2025–26) were processed without deducting Tax Deducted at Source (TDS) under Section 194C (prescribed rate: 2% for corporate contractors).

Root Cause

The accounts desk treated the invoices as pure labor cost reimbursements based on the vendor's letter, bypassing the statutory withholding mandate.

Implication

- Primary withholding default under Section 201: ₹56,800.
- Mandatory interest under Section 201(1A) at 1% to 1.5% per month.
- Disallowance of 30% of the expenditure under Section 40(a)(ia) in the Association's computation of taxable business/non-mutual income (where applicable).
- Potential penalty under Section 271C equal to the unpaid tax amount.

Recommendation

1. Immediately compute the overdue TDS for the entire fiscal year along with applicable interest.
2. Deduct the accrued tax liability from the vendor's pending invoices or security deposit.
3. Remit the overdue amount to the Central Government and file revised quarterly Form 26Q statements.

Management Response & Remediation Plan

- **Auditee Response:** Concurred. The accounts team has flagged the outstanding liability. We will hold the pending September 2026 invoice of M/s Apex Facility Services until the full ₹56,800 along with statutory interest is recovered and deposited.
- **Responsible Person:** Treasurer / Estate Manager
- **Target Closure Date:** 15th October 2026

Observation 2: Commingling of Sinking Fund Collections in the Operational Current Account

- **Risk Rating: High**
- **Area:** Capital Fund Governance & Society Bye-laws
- **Governing Rule:** Registered Bye-law 14(c) & State Apartment Ownership Act

Condition Found

Quarterly member maintenance charges include a dedicated Sinking Fund component billed at 0.30% of construction cost per annum. A total of ₹14,20,000 was collected under this head during FY 2025–26. However, this entire sum was deposited and retained within the Association's primary SBI Current Account (used for daily vendor payments), rather than being segregated into dedicated long-term Fixed Deposits.

Root Cause

Absence of an automated monthly or quarterly treasury sweep instruction to transfer earmarked sinking fund collections into authorized term deposits.

Implication

- Breach of registered Bye-laws and statutory provisions governing housing society funds.
- Risk of unintentional diversion of capital maintenance reserves for recurring operational deficits.
- Lost financial interest income calculated at ~6.5% p.a. (estimated opportunity loss: ₹58,000).

Recommendation

1. Calculate the exact unencumbered balance of the Sinking Fund as of 31st March 2026.
2. Pass a formal Management Committee resolution authorizing the transfer of this accrued corpus into designated Fixed Deposits with a Scheduled Bank.
3. Establish a quarterly treasury protocol: transfer sinking fund receipts to designated FDs within 30 days of each quarter-end.

Management Response & Remediation Plan

- **Auditee Response:** Accepted. A reconciliation has been ordered to ascertain the exact accrued balance. Fixed Deposits will be booked across two nationalized banks following the next Management Committee meeting.
- **Responsible Person:** Secretary & Treasurer
- **Target Closure Date:** 31st October 2026

Observation 3: Inadequate Variance Tracking & Run-Hour Logs for Diesel Generator (DG) Fuel

- **Risk Rating: Medium**
- **Area:** Operational Expenditure & Inventory Controls

- **Audit Scope:** Common Area Utility Maintenance

Condition Found

The Association procured 14,800 Liters of High-Speed Diesel (HSD) valued at ₹13,91,200 during the financial year for two 250 kVA DG sets. A review of the DG logbook revealed:

- Meter run-hours were recorded inconsistently (gaps of 3 to 7 days).
- Average consumption fluctuated arbitrarily between 28 Liters/hour and 44 Liters/hour under comparable phase loads without diagnostic notes.
- No periodic physical dip-stick reconciliation was signed off by the Estate Manager against fuel supplier delivery challans.

Root Cause

Lack of a standard operating procedure (SOP) for bulk diesel delivery verification and fuel efficiency benchmarking.

Implication

Inability to detect fuel pilferage, engine degradation, or vendor short-delivery.

Recommendation

1. Institute a mandatory three-point fuel entry register: physical tank dip level before decantation, meter reading after decantation, and logbook entry of fuel receipt.
2. Standardize weekly specific fuel consumption tracking (Liters per running hour per kVA load factor). Establish an operational variance threshold of $\pm 10\%$; any excess must trigger an engineer inspection.

Management Response & Remediation Plan

- **Auditee Response:** We have instructed the Estate Manager to enforce a revised digital log sheet starting October 1, 2026. Weekly dip readings will be countersigned by the Facility Supervisor.
- **Responsible Person:** Estate Manager
- **Target Closure Date:** 10th October 2026

Observation 4: Single-Quotation Procurement for Clubhouse Gym Equipment Refurbishment

- **Risk Rating:** Medium
- **Area:** Procurement & Financial Delegations
- **Governing Rule:** RWA Financial Powers Bye-law 28

Condition Found

Capital expenditure of ₹3,45,000 was incurred on gym machinery overhauling and replacement of treadmill drive motors under Work Order WO/2025/112. The file contained only one quotation from the selected vendor. No comparative price bids or documented market benchmarking was on record.

Root Cause

Work was initiated on an urgent basis following member complaints, bypassing the standard three-quote procurement protocol.

Implication

Failure to establish fair market value, potential loss of volume discounts, and lack of transparency in competitive vendor selection.

Recommendation

1. Enforce strict adherence to procurement policy: all capital work exceeding ₹50,000 must solicit a minimum of three competitive bids.
2. In exceptional emergencies, mandate prior written approval from the President and Treasurer detailing the operational justification for single-source procurement before releasing the purchase order.

Management Response & Remediation Plan

- **Auditee Response:** Noted. While the work was executed satisfactorily and within the approved annual budget, we agree that the three-quotation protocol was bypassed. All future capex exceeding ₹50,000 will be routed through the Procurement Sub-committee.
- **Responsible Person:** President & Joint Secretary
- **Target Closure Date:** Implemented immediately

Observation 5: Incomplete Fixed Asset Tagging and Physical Verification Discrepancies

- **Risk Rating:** Low
- **Area:** Fixed Asset Management & Accounting Records

Condition Found

The Association maintains a Fixed Asset Register (FAR) listing capital infrastructure (STP blowers, CCTV cameras, gym equipment, swimming pool heat pumps). However:

- Physical asset tags (barcodes/serial identifiers) were absent on 42 out of 80 audited CCTV cameras.
- No documented annual physical verification of assets was conducted by the management at the end of FY 2025–26.

Root Cause

Lack of periodic reconciliation between physical equipment installations and accounting balance sheet schedules.

Implication

Risk of unrecorded asset loss, obsolete equipment remaining on books without depreciation/write-off, and delays in processing insurance claims in the event of casualty.

Recommendation

Perform a comprehensive annual physical verification of all fixed assets, apply durable metallic or tamper-evident barcode tags, and cross-reference tag IDs with the Fixed Asset Register.

Management Response & Remediation Plan

- **Auditee Response:** A physical tagging drive will be completed within 60 days, and the verified list will be updated in the asset register.
- **Responsible Person:** Facilities Supervisor & Accountant
- **Target Closure Date:** 30th November 2026

4. Sign-Off & Governance Acknowledgment

For M/s Verma & Associates

Chartered Accountants

(FRN: 014285N)

(Sd/-)

CA Rajesh Verma, FCA

Partner (M. No. 094321)

UDIN: 26094321AAAAAB1234

Acknowledged on behalf of Management Committee:

(Sd/-)

President

Palm Grove Heights RWA

(Sd/-)

Treasurer

Palm Grove Heights RWA

User prompt: Draft SOPs for accounting and day-to-day working, interactions with Vendors, Staff, Apartment members

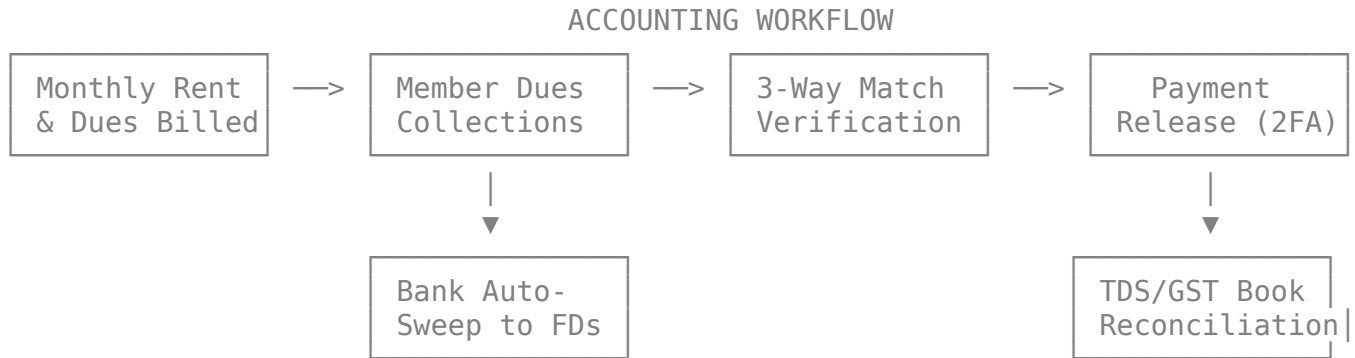
Response: Standard Operating Procedures (SOP): Accounting, Operations & Stakeholder Governance

Entity: Resident Welfare Association (RWA) / Apartment Owners Association (AOA)

Document Code: SOP-ADM-OPS-001

Target Audience: Management Committee (MC), Estate Manager, Accounts Desk, Facility Staff, Vendors, and Residents

Module 1: Accounting & Financial Controls



1.1 Invoicing, Collections & Defaulter Escalation

- **Billing Cycle:** Generate and dispatch automated maintenance invoices by the 1st of every month via the society ERP/management portal.
- **Payment Grace Period:** Due date is the 10th of every month. Payments received after the 10th attract a mandatory late fee of **18% per annum simple interest** (or a flat ₹250/month, as fixed by General Body resolution).
- **Payment Channels:** Strictly digital (UPI, NEFT/RTGS, Net Banking payment gateways). **Zero cash acceptance** for maintenance dues.
- **Escalation Matrix for Defaulters:**
 - **Day 15 (Level 1):** Automated reminder via SMS/Email/App notification.
 - **Day 30 (Level 2):** Formal reminder letter on RWA letterhead signed by the Treasurer.
 - **Day 60 (Level 3):** Final demand notice via Registered Post. Public listing on the society app notice board (if permitted under Bye-laws).
 - **Day 90+ (Level 4):** Suspension of non-essential common amenities (clubhouse access, swimming pool, gym, banquet booking, dedicated car park tags). Administrative NOC withholding for tenancy or sale. Initiation of recovery proceedings under State Cooperative/Apartment Act.

1.2 Petty Cash Management

- **Imprest Ceiling:** Maximum imprest amount of **₹15,000** held by the Estate Manager.
- **Disbursement Cap:** Maximum single cash payment capped at **₹2,000**. Any expenditure exceeding ₹2,000 must be settled via digital bank transfer.
- **Voucher Control:** Every cash expense requires a printed Petty Cash Voucher backed by:
 1. Cash receipt/tax bill from the shop/vendor.
 2. Signature of the person incurring the expense.
 3. Sign-off by the Estate Manager.
- **Replenishment:** Imprest is reimbursed via digital transfer when the cash box hits ₹3,000, after verification of original vouchers by the Treasurer. Cash counts are audited randomly once a month.

1.3 Bank Operations & Treasury Sweeps

- **Signatory Mandate:** All bank payments require joint dual-authorization:
 - Primary: Treasurer (Mandatory)
 - Secondary: Either President OR Secretary
- **Capital vs. Operating Segregation:**
 - **Operating Current Account:** Day-to-day utility bills, staff salaries, routine vendor AMCs.
 - **Earmarked Accounts/Fixed Deposits:** Sinking Fund, Corpus Fund, and Statutory Reserve Fund.
- **Automated Sweep:** Any balance in the operational current account exceeding 45 days of projected working capital must be swept into high-interest flexi-deposits or auto-sweep accounts.
- **Bank Reconciliation Statement (BRS):** Completed by the 5th of every subsequent month by the Society Accountant and signed by the Treasurer.

Module 2: Vendor Interactions & Procurement

2.1 Procurement Tendering & Financial Delegations

Financial Limit	Requisition & Approval Authority	Procurement Process Required
Up to ₹10,000	Estate Manager approval; Treasurer post-facto sign-off.	Direct purchase at vetted local market price.
₹10,001 to ₹50,000	Joint approval: Treasurer + Secretary.	Minimum 2 written quotations ; comparative matrix on file.
₹50,001 to ₹2,50,000	Full Management Committee resolution.	Minimum 3 competitive sealed/email bids ; technical & commercial evaluation sheet.
Above ₹2,50,000	General Body Meeting (AGM/EGM) budget approval.	Formal tendering process, technical site inspection, 3 sealed bids, and performance guarantee clause.

2.2 Invoice Processing: The 3-Way Match Rule

Before releasing payment to any supplier, contractor, or AMC vendor, the accounts desk must match:

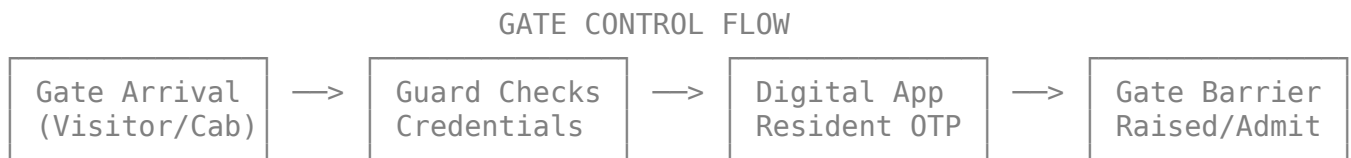
1. **Approved Purchase Order (PO) or Work Order (WO)** signed by an authorized office bearer.
2. **Goods Receipt Note (GRN) or Work Completion Certificate (WCC)** signed by the Estate Manager after physical inspection.
3. **Valid Tax Invoice** containing society name, GSTIN, PAN, and bank details.

2.3 Statutory Deductions & Monthly Compliance

- **TDS Withholding:** Deduct TDS prior to releasing payments:

- **Section 194C:** 1% (Individuals/HUFs) or 2% (Companies/LLPs) on security, housekeeping, lift maintenance, gardening.
- **Section 194J:** 2% (technical services) or 10% (professional legal/audit fees).
- **Labor Law Verification (Mandatory for Manpower Agencies):** Do not clear monthly security or housekeeping agency invoices until the vendor submits:
 - Bank transfer statement proving wage disbursement to deployed guards/staff.
 - Electronic Challan Receipt (ECR) for EPF matching individual Universal Account Numbers (UANs).
 - ESIC monthly contribution statement matching deployed personnel.

Module 3: Facility Staff & Security Management



3.1 Attendance, Shifts & Conduct

- **Shift Handover:** Security and technical staff operate across three 8-hour shifts (06:00–14:00, 14:00–22:00, 22:00–06:00). Relieving staff must report 15 minutes before the shift starts. No guard leaves a post unmanned.
- **Attendance System:** Biometric/face-recognition punch system logged twice daily.
- **Grooming & Decorum:**
 - Clean, complete uniform with visible photo ID card and whistle/torch.
 - Strict prohibition of chewing tobacco, smoking, or consuming alcohol on society premises. Immediate replacement of any non-compliant personnel.
 - Staff must communicate politely and refrain from arguing with residents or guests. Disciplinary matters must be escalated immediately to the Estate Manager.

3.2 Gate & Entry Protocols

- **Visitors & Deliveries:** Every external visitor must be logged into the society app. Entry is permitted **only** after direct approval (app notification or phone authorization) from the host resident.
- **Contractor & Domestic Help Entry:** Domestic staff, drivers, and daily contractors must carry a registered biometric/RFID pass.
- **Cab Entry:** Cabs entering the premises are logged with unit numbers. Drop-off/pickup has a **15-minute gate-to-gate transit timer** to prevent unauthorized parking in common driveways.
- **Move-In / Move-Out Protocol:**
 - Allowed strictly between **09:00 AM and 07:00 PM** (Monday to Saturday; prohibited on Sundays/Gazetted Holidays).
 - Requires a verified **Move-In/Move-Out Clearance Slip** from the RWA office confirming that shifting fees, move-in deposits, and maintenance dues are fully settled.

- Service lifts must have protective wall paddings installed before shifting begins.

Module 4: Apartment Members & Resident Interactions

4.1 Helpdesk & Grievance Resolution

Category	Typical Issues	First-Response SLA	Target Resolution SLA	Escalation Owner
Emergency	Main water supply burst, lift entrapment, electrical fire, security threat	Immediate (10 mins)	1 hour (make safe)	Estate Manager & President
Priority A	Common area lighting outage, sewage backflow, STP foul odor, boom barrier failure	2 hours	6 to 12 hours	Facilities Supervisor
Priority B	Intercom faults, amenity booking issues, localized corridor cleaning	4 hours	24 hours	Estate Manager
Administrative	Billing clarifications, tenant NOCs, parking tag issuance, renovation approvals	24 hours	48 to 72 hours	Treasurer / Secretary

- **Logging Mechanism:** All complaints must be logged via the society ERP/ticketing software. Verbal complaints to guards or informal WhatsApp messages to MC members will not be processed.
- **Ticket Closure:** A ticket can only be closed once the resident provides a digital sign-off or OTP confirmation in the app.

4.2 Home Renovation & Fit-Out Guidelines

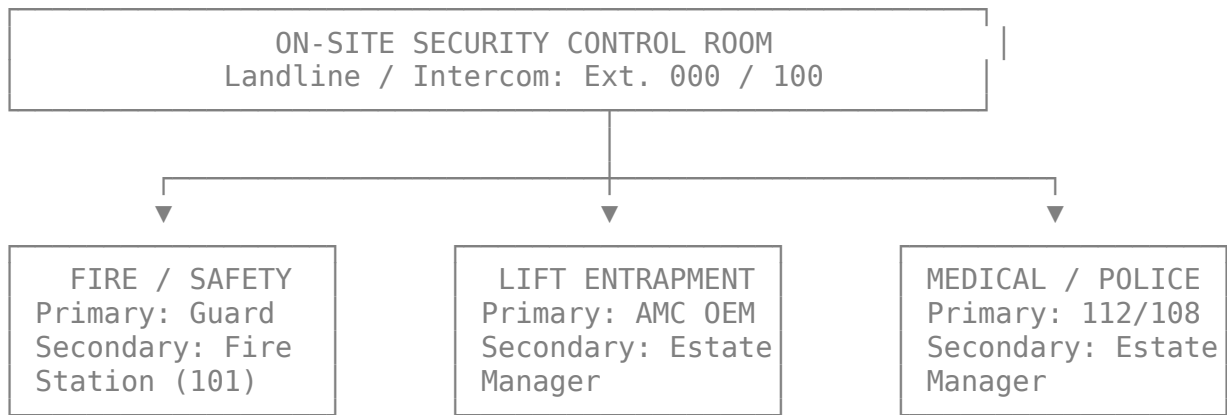
- **Application:** Residents must submit an architectural layout, contractor indemnity bond, and a refundable security deposit of **₹25,000** at least 7 business days prior to starting work.
- **Permissible Hours:** 09:00 AM to 06:00 PM, Monday through Saturday. **No drilling or high-noise work between 01:00 PM and 03:00 PM.** No work on Sundays or public holidays.
- **Structural Restrictions:** Under no circumstances may load-bearing columns, shear walls, or core utility service shafts be chipped, drilled, or modified.
- **Debris Removal:** Renovation debris (malba) must be bagged and stored within the flat or an assigned basement enclosure. It cannot be dumped in common corridors, shafts, or garbage chutes. Debris must be removed via private disposal vehicles at the owner's expense.

4.3 Common Amenities & Community Hall Booking

- **Booking Rules:** Bookings are processed on a first-come, first-served basis via the society app up to 60 days in advance. Full payment and a refundable damage deposit (e.g., ₹10,000) are required to lock the slot.
- **Sound Regulations:** In compliance with local pollution and police guidelines, all outdoor music, loudspeakers, and DJ systems must be shut down promptly at **10:00 PM**.

- **Pre- & Post-Event Inspection:** The Estate Manager and booking resident must conduct a joint walkthrough before hand-over and immediately after the event to inspect for wall scuffs, broken fixtures, or plumbing damage before refunding the security deposit.

Module 5: Emergency Escalation Matrix



1. **Life Safety First:** In any structural, electrical, or fire event, staff must initiate evacuation before attempting asset salvage.
 2. **Lift Rescue Operations:** Only trained facility technicians or authorized OEM personnel may execute manual brake release for lift rescues. Untrained security guards must never force lift doors open between floors.
 3. **Official Communication:** Only the President or Secretary is authorized to issue press statements or formal notifications to the general body regarding critical incidents.
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